

HOUSE BILL 1235

By Love

AN ACT to amend Tennessee Code Annotated, Title 36
and Title 37, relative to children.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 37-1-172, is amended by adding the following as new subsections:

(c) When the department serves as the representative payee on behalf of a child for any federal funds a child in the care of the department is eligible for or may receive, the department shall conserve those federal funds for the child's reasonable, foreseeable future needs or use the funds for special needs services not otherwise provided by the department.

(d) The department may exercise discretion to conserve these federal funds in the best interest of the child by holding such moneys in a trust or apply for and establish an account for the child, including a Plan for Achieving Self-Support, a 529 or 529A plan, an individual development account, a special needs trust, or a bank account.

(e) If it is in the best interest of the child, then the department may utilize the federal funds for special needs services that are not currently being provided by the department.

(f) The department shall conserve and use the federal funds in a manner that does not violate any federal asset or resource limits that would affect the child's eligibility for benefits or assistance offered by the federal, state, or local government.

(g) The department shall maintain records related to the conservation and use of these federal funds, and the records must be maintained in the child's file that is

available to the child's attorney, to the child once the child is eighteen (18) years of age, and to the child's guardian if the child is no longer in the department's custody.

(h) The department may use a reasonable portion of interest earnings from the federal funds to offset the reasonable expenses incurred in meeting the department's obligations to apply for and administer benefits pursuant to this section. Notwithstanding subsection (e), the federal funds must not be used to reimburse the department for the costs of caring for the child.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it.